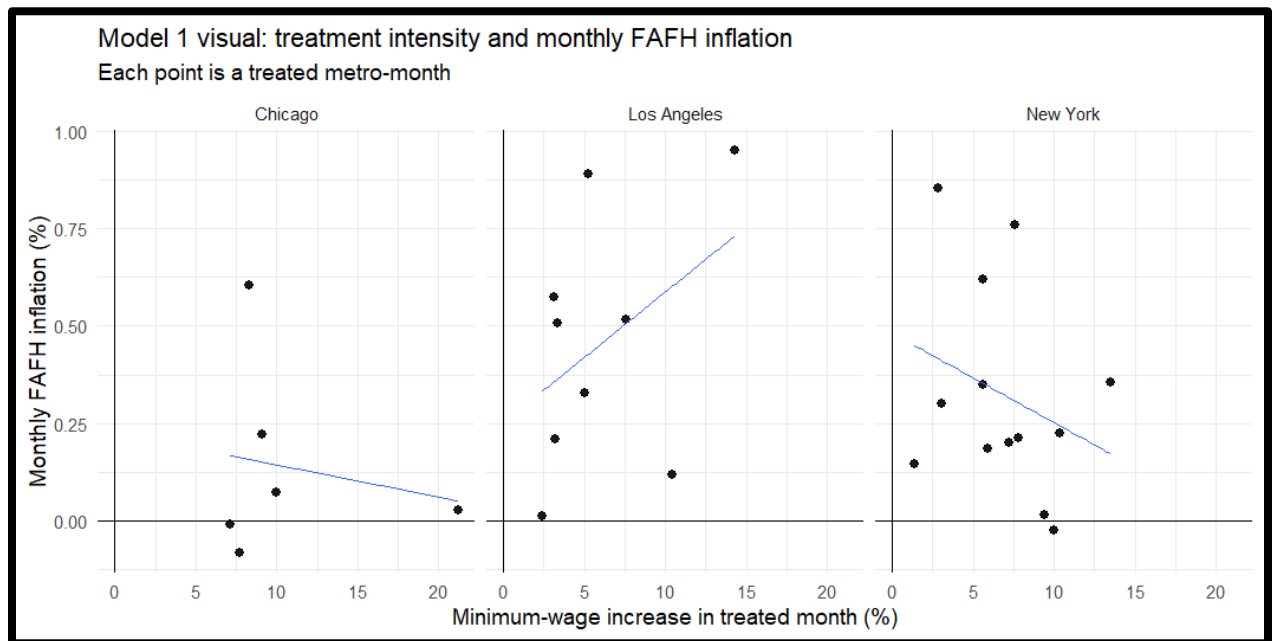


Main Model Plots

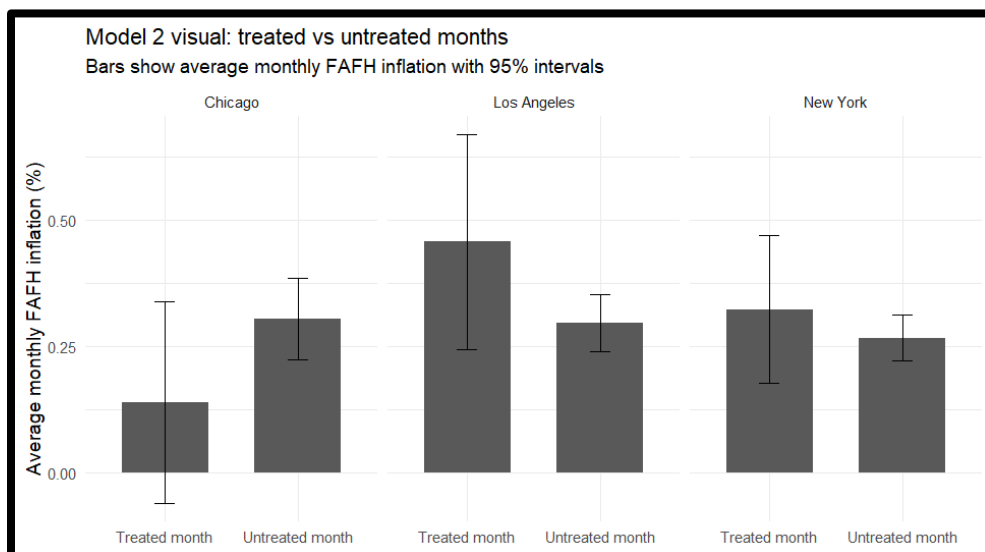
Below are some plots and their description for each of the models:

Model 1:



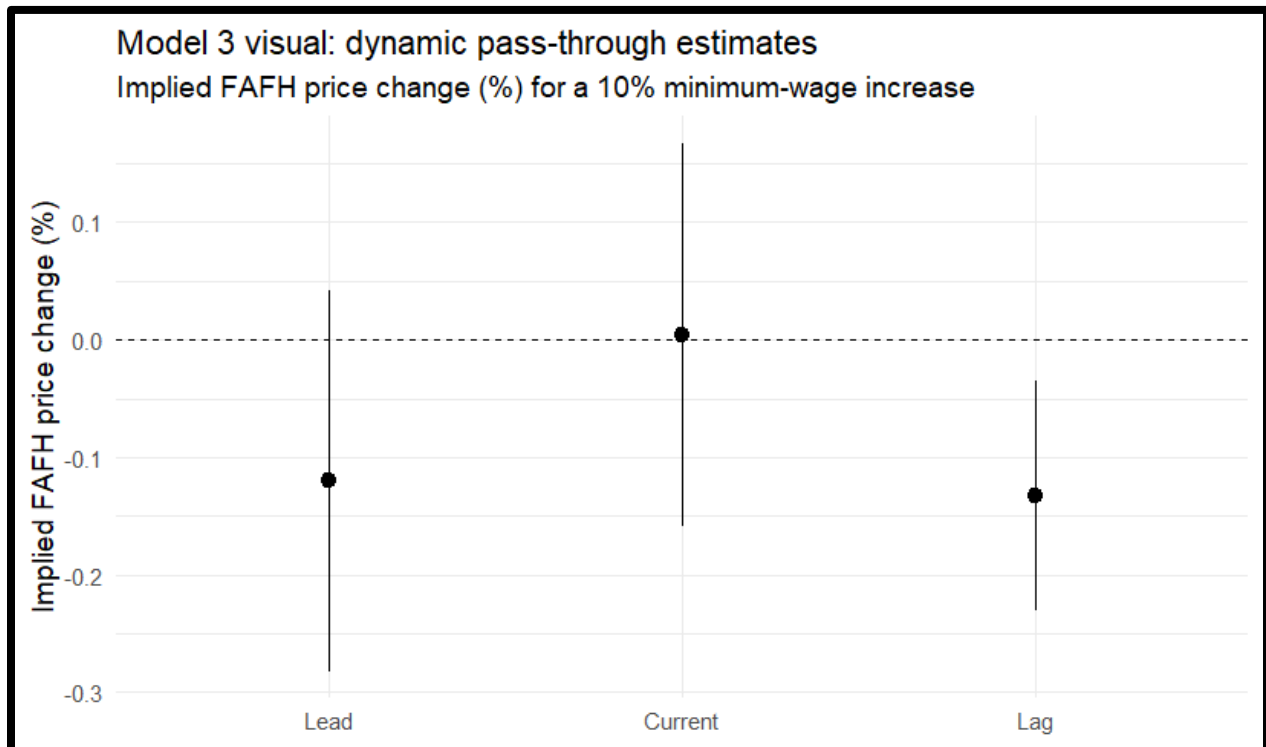
Model 1 is our main intensity difference-in-difference analysis. This graph shows a scatterplot, by metro area, with each point being a treated metro-month, with the x-axis showing the size of the minimum-wage increase and the y-axis showing the monthly FAFH inflation. The fitted blue line shows whether larger wage hikes tend to line-up with larger restaurant-price increases. There does *not* appear to be a strong upward relationship in this data.

Model 2:



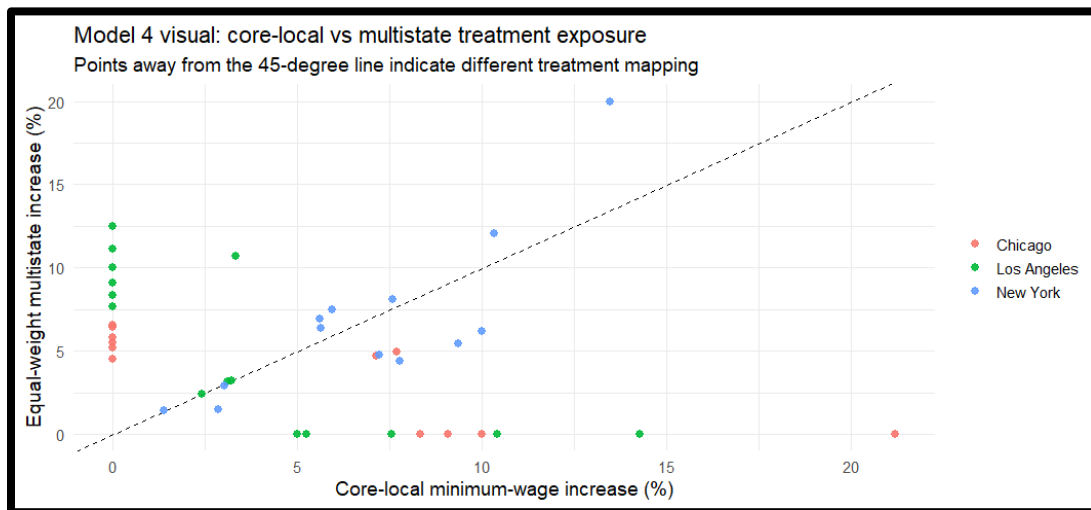
Model 2 simply compares average FAFH inflation in treated months vs untreated months, by metro. The bars are the average monthly FAFH inflation and the error bars show the uncertainty around those averages, which are quite large. This plot appears to show a relatively small estimate, and one that is not significantly strong.

Model 3:



Model 3 is our dynamic DiD plot, showing the estimated effect of the minimum wage increases. Lead, current, and lag correspond to the month before, of, and after the wage hike. If there were to be a clean pass-through, there would be some small movement before the policy and then a positive effect on FAFH price during or after the implementation of the pass-through. We do not see that since the current effect is near zero and the cumulative dynamic effect appears to be negative

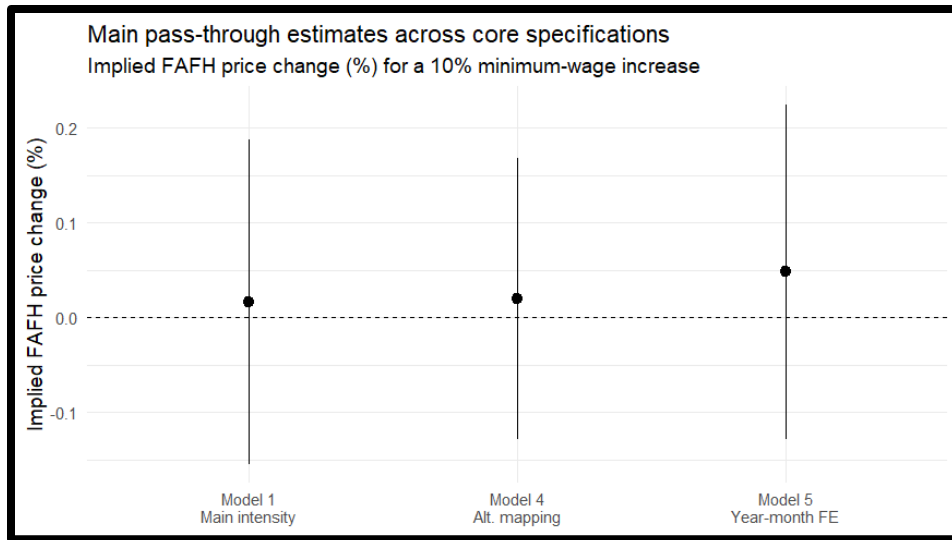
Model 4:



Model 4 applies an equal-weight multistate treatment construction, i.e., one that uses such a treatment to define how strongly each metro is exposed to wage policy changes, and this graph compares such a construction to the main intensity-based one used in Model 1. This alternative construction is mainly included for robustness purposes, as we want to see if the two mappings give a similar treatment exposure, i.e., the points would lie upon the 45-degree line. We do *not* see this since Model 4 is quite similar to Model 1, and this robustness check therefore shows that the weak result from Model 1 is not simply some issue with that treatment mapping.

Model 5:

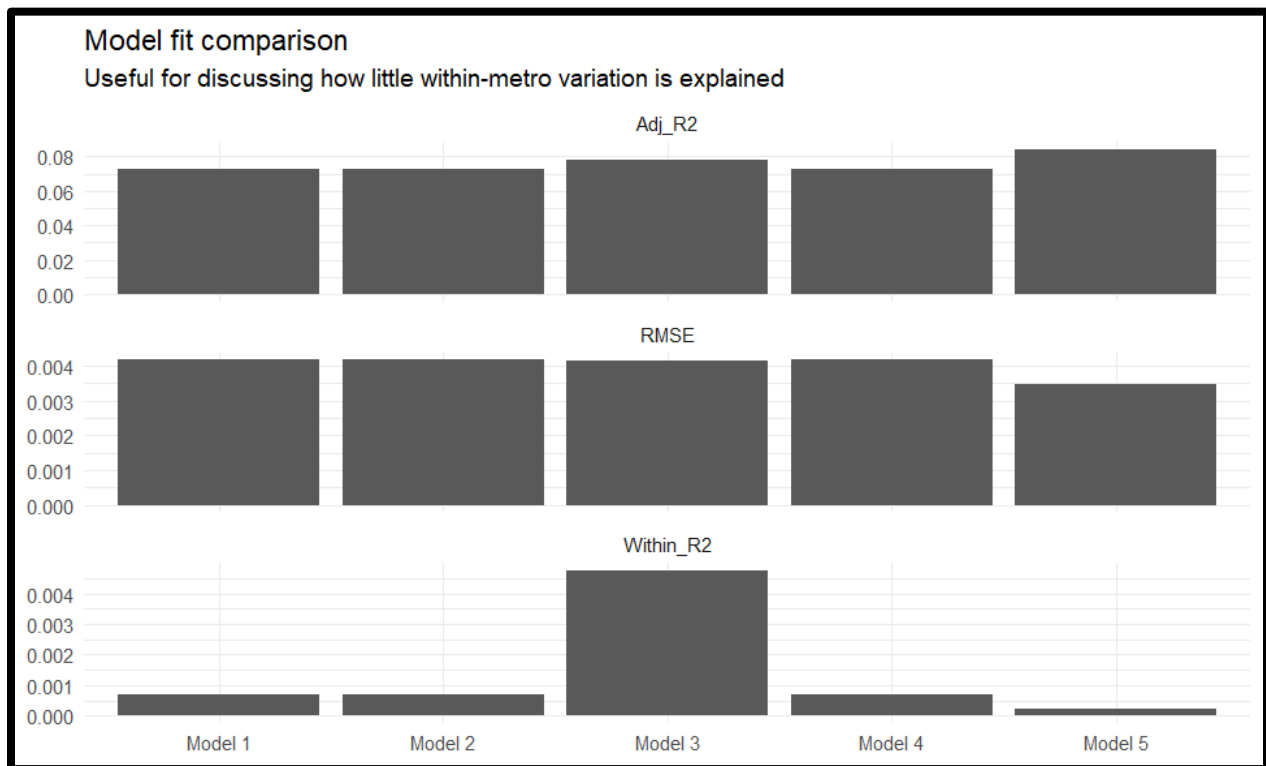
Model 5 uses the main treatment variable from Model 1 but instead of using separate month and year fixed effects, it uses year-month fixed effects which are made to absorb any shock common to all metros in a specific calendar month; we look to see if the main result of weak pass-through survives after controlling for detailed common time shocks. Thus, this model is an even stricter robustness specification but still finds the estimate to be statistically weak.



The graph given above here compares the estimated pass-through coefficients from Models 1, 4, and 5. The points are the estimate and the vertical intervals show the uncertainty. We can see that across the main, alternative mapping, and the stricter fixed-effects models, the estimates remain quite small and imprecise.

Additional/alt. Plots

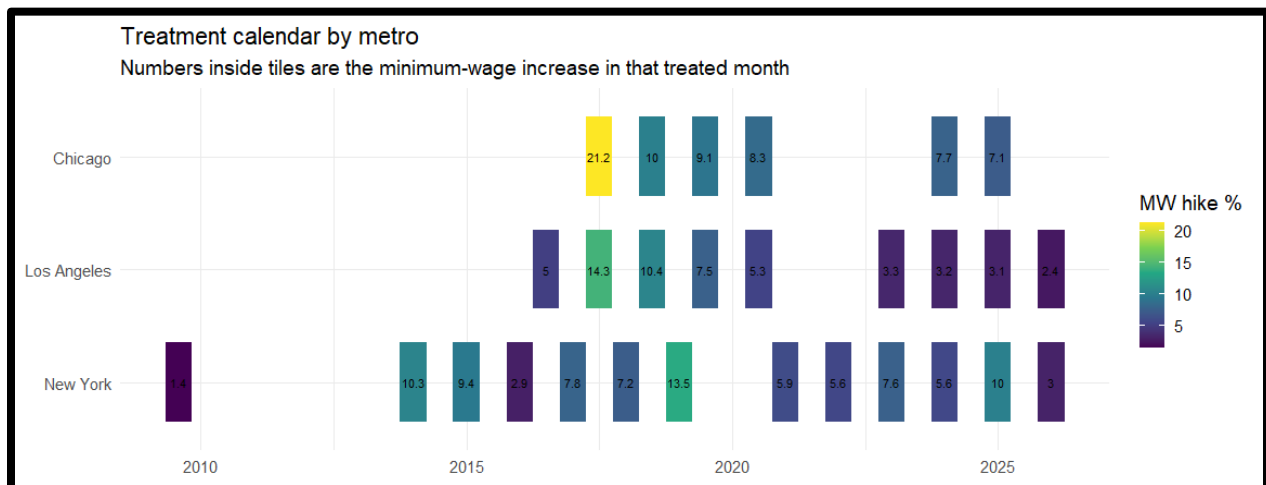
Model fit comparison:



Here, the Adjusted R^2 , Within R^2 , and the Root Mean Square Error are used as a diagnostics plot across Models 1-5. This shows that the treatment variables explain very little of the within-metro month-to-month variation in FAFH inflation. The R^2 values are quite small.

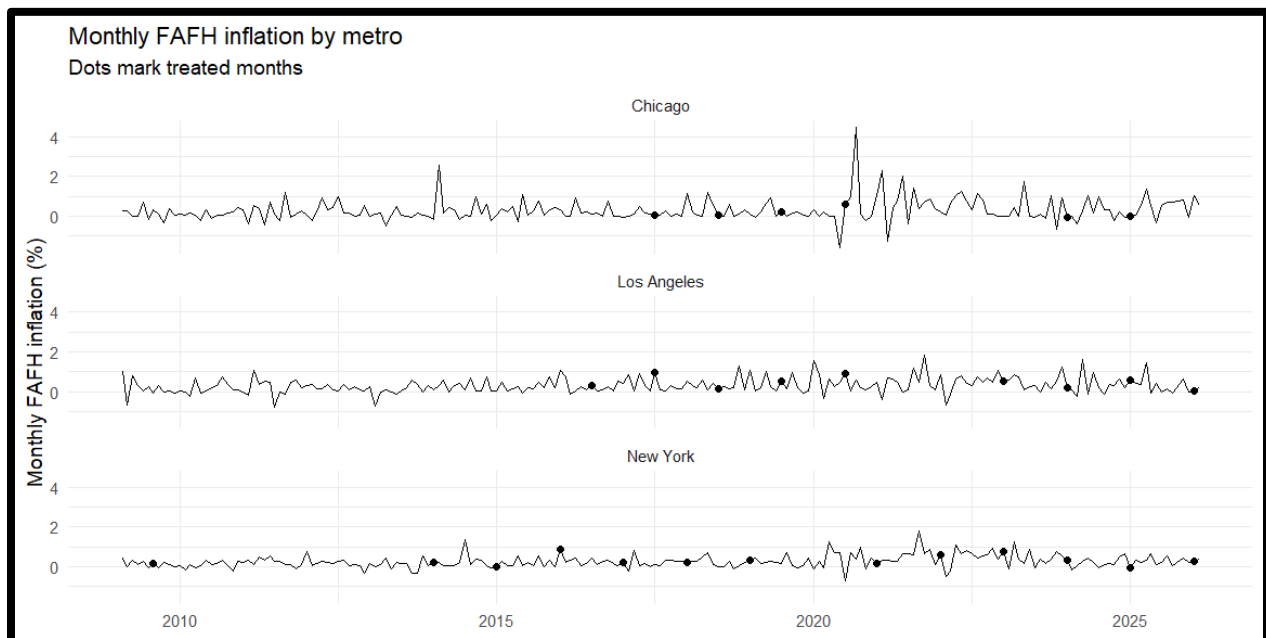
Note that Adjusted R^2 refers to the model complexity, penalizing unnecessary predictors and preventing overfitting, while the Within R^2 refers to the variance explained within the metro areas over time, removing the mean of the dependent variable for each metro area.

Treatment calendar by metro:



This plot maps when each metro was treated and exactly how large the MW-increase was in that particular month. The number inside is the size of that wage hike. This shows that the treatment is relatively sparse and uneven.

Raw data by metro:



This graph compares how volatile the FAFH inflation was for each metro, with dots marking the treated months. I created this plot as a more clear version of the previous event-study plot. We can see that this plot supports our regression results since the treated months do not clearly coincide with clear jumps in FAFH inflation.